

INVESTMENT REPORT

Initiation of Coverage

Aurelia Grid Technologies plc — structural grid spend, improving margins

Issuer	Aurelia Grid Technologies plc	Listing	LSE: AURG
Recommendation	OVERWEIGHT	12-month target	\$48.50
Current price	\$41.20	Implied upside	+17.7%
Report date	14 March 2025	Analyst desk	Industrials / Power

O/W	\$48.50	+17.7%	14.4x	2.30x
Rating: Overweight	Price target	Upside to target	FY2025e P/E	Net debt / EBITDA

Investment thesis

We initiate coverage of Aurelia Grid Technologies with an Overweight rating and a 12-month price target of \$48.50, implying 17.7% upside. Aurelia is a direct beneficiary of multi-decade grid-modernisation spending across its three segments. We see a credible path to mid-teens earnings growth, supported by a record order backlog and a rising mix of higher-margin software and storage revenue.

- Structural demand.** FY2024 revenue of \$1,284.6m grew 12.5%, with an order backlog of \$1,910m providing visibility into 2026.
- Margin expansion.** Adjusted EBITDA margin reached 18.6% in FY2024 and we model further expansion toward 19.5% by FY2026 on storage scale and software mix.
- Improving balance sheet.** Net leverage has fallen from 3.05x (FY2022) to 2.30x (FY2024), reducing financial risk and supporting a progressive dividend.
- Cash generation.** Free cash flow of \$105.9m in FY2024 (+25.9% YoY) underpins both reinvestment and shareholder returns.

Forecasts and estimates

\$m, unless stated	FY2024A	FY2025e	FY2026e	FY2027e
Revenue	1,284.6	1,406.6	1,533.2	1,648.7
Revenue growth	12.5%	9.5%	9.0%	7.5%
Adjusted EBITDA	238.7	267.3	298.9	326.4
EBITDA margin	18.6%	19.0%	19.5%	19.8%
Net income	118.4	134.8	153.1	169.4
Diluted EPS (\$)	2.37	2.70	3.06	3.39
Free cash flow	105.9	128.4	151.0	172.6
Net debt / EBITDA (x)	2.30	1.95	1.62	1.30

A = actual, e = estimate. Estimates are illustrative and prepared for system-testing only.

Valuation

Our \$48.50 target is the blended output of a discounted cash flow analysis and a peer multiple cross-check, weighted 60/40 respectively. The DCF assumes a weighted average cost of capital of 8.7% and a terminal growth rate of 2.0%.

Method	Key assumption	Implied value/share	Weight
DCF	WACC 8.7%, g 2.0%	\$50.10	60%
EV/EBITDA	10.5x FY2025e EBITDA	\$46.30	20%
P/E	17.0x FY2025e EPS	\$45.90	20%
Blended target		\$48.50	100%

Peer comparison

Company	FY2025e P/E	EV/EBITDA	EBITDA margin	Rev. growth
Aurelia Grid Technologies	14.4x	9.3x	19.0%	9.5%
Peer — grid hardware A	16.8x	10.9x	17.2%	7.1%
Peer — storage systems B	21.2x	13.4x	14.8%	16.0%
Peer — metering software C	24.6x	15.1x	23.5%	11.2%
Peer set median	19.0x	12.2x	18.1%	10.4%

Aurelia trades at a discount to the peer median on both P/E and EV/EBITDA despite a comparable growth and margin profile, which we view as the core of the re-rating opportunity.

Scenario analysis

Scenario	FY2026e EPS	Target multiple	Implied value	Probability
Bull	\$3.35	18.0x	\$60.30	25%
Base	\$3.06	16.0x	\$48.50	55%
Bear	\$2.55	12.5x	\$31.90	20%
Probability-weighted			\$47.60	100%

Key risks to our view

- **Project timing.** Revenue recognition on large grid contracts can be lumpy, creating quarter-to-quarter volatility.
- **Input costs.** Copper, steel and battery-cell pricing can compress storage-segment margins.
- **Policy dependence.** A material slowdown in grid-investment subsidy frameworks would reduce backlog conversion.
- **Refinancing.** The 2026 term loan and 2027 RCF mature into an uncertain rate environment.

Analyst certification & disclosures

This is an illustrative research note created solely for system-testing. Aurelia Grid Technologies plc is a fictional entity; the rating, price target and estimates are not investment advice and do not relate to any real security. Internal use only.